Investment Process Overview

Carnivore Quant Fund, LP

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STT Capital Advisors, LLC

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Strategy Overview

Carnivore Quant Fund employs a **proprietary systematic long/short equity strategy** built on the PNTHR Signal System. The Fund identifies high-conviction entry points using an 8-dimension scoring framework, enters positions through a disciplined pyramid structure, and manages risk via the Proprietary PNTHR Stop Loss System (PPSLC) and portfolio-level controls. The strategy is designed to generate alpha in all market regimes through both long (BL) and short (SS) signals.

The PNTHR 679 Universe

Every week the system scans **679 premier U.S. equities**: the S&P 500, Nasdaq 100, Dow 30, plus select large-cap and mid-cap securities. The universe was selected for liquidity, coverage across all 11 GICS sectors, and representation across all market caps from $2B to $4T+.

PNTHR Proprietary Buy Long Signal (BL)

A BL signal is generated when the following conditions all prove true:

- Weekly close above the sector-specific optimized EMA
- Sector-specific EMA is rising with a predetermined positive slope, proving the trend is genuine
- Weekly high at or above the previous 2-week high, confirming a structural breakout
- Weekly low above the sector-specific optimized EMA by minimum 1% daylight (stocks) or 0.3% (ETFs)

PNTHR Proprietary Sell Short Signal (SS)

An SS signal is generated when the following conditions all prove true:

- Weekly close below the sector-specific optimized EMA
- Sector-specific EMA is declining with a predetermined negative slope, proving the downtrend is genuine
- Weekly low at or below the previous 2-week low, confirming a structural breakdown
- Weekly high below the sector-specific optimized EMA by minimum 1% daylight (stocks) or 0.3% (ETFs)

Additionally, SS signals require the **PNTHR SS Crash Gate** to be satisfied: SPY/QQQ EMA falling for 2 consecutive weeks AND sector 5-day momentum below -3%.

The PNTHR Kill Scoring Engine

The PNTHR Kill Scoring Engine is the intellectual core of the strategy: seven years of research distilled into 8 dimensions that transform 679 stocks into a precision-ranked list where the top entries have a statistically validated 66-70% probability of success. The system does not guess. It measures, confirms, and ranks with mathematical precision.

Master Formula

PNTHR KILL SCORE = (D2 + D3 + D4 + D5 + D6 + D7 + D8) x D1

Dim	Name	Range	What It Measures
D1	Market Regime Multiplier	0.70x-1.30x	Global amplifier. Bear: SS boosted, BL dampened. SPY + QQQ tracked independently
D2	Sector Alignment	+/-15 pts	Sector ETF 5-day returns (2x weight for new signals) + 1-month returns
D3	Entry Quality	0-85 pts	Close Conviction (0-40) + EMA Slope (0-30) + Separation Bell Curve (0-15). Dominant dimension
D4	Signal Freshness	-15 to +10	Age 0 CONFIRMED=+10. Smooth decay. Age 6-9: -3/wk. Floor -15 at wk 12+
D5	Rank Rise	+/-20 pts	Week-over-week ranking improvement. +1 per spot risen, -1 per spot fallen
D6	Momentum	-10 to +20	RSI (+/-5), OBV change (+/-5), ADX strength (0-5), Volume confirmation (0/+5)
D7	Rank Velocity	+/-10 pts	Acceleration of rank change. clip(round((curD5-prevD5)/6), -10, +10)
D8	Multi-Strategy Convergence	0-6 pts	SPRINT/HUNT +2 each, FEAST/ALPHA/SPRING/SNEAK +1 each. Independent confirmation

Tier Classification

Score	Tier	Action
130+	ALPHA PNTHR KILL	Maximum conviction. All 8 dimensions aligned. Immediate action
100+	STRIKING	High conviction. Strong entry quality + multiple dimensions
80+	HUNTING	Active confirmed setup. Moderate multi-dimension support
65+	POUNCING	Solid setup. Entry quality present, monitoring closely
50+	COILING	Building. Signal present, dimensions accumulating
<50	STALKING / LOWER	Early stage or nascent signal
-99	OVEREXTENDED	>20% separation from EMA. Excluded from ranking

PNTHR Analyze Pre-Trade Scoring

The PNTHR Analyze system answers the question every trader must answer before entering: is this the right trade, right now? Every one of Analyze's 100 points can be evaluated at the exact moment the scan runs. No estimation, no guesswork.

Tier	Points	Components
T1: Setup Quality	40	Signal Quality (15), Kill Context (10), Index Trend (8), Sector Trend (7)

Tier	Points	Components
T2: Risk Profile	35	Freshness (12), Risk/Reward (8), Prey Presence (8), Conviction (7)
T3: Entry Conditions	25	Slope Strength (5), Sector Concentration (5), Wash Compliance (5), Volatility/RSI (5), Portfolio Fit (5)

Score >=75% = green (optimal). >=55% = yellow (proceed with awareness). <55% = red (reconsider). The Analyze score is preserved as the authoritative snapshot for all downstream journal and discipline scoring.

PNTHR Position Sizing and Pyramiding

Position sizing is where discipline becomes quantifiable. The PNTHR pyramid model ensures maximum capital is only deployed when the market has confirmed the trade multiple times. A new entry receives only 35% of the intended position. Full size is earned through sequential confirmation, each lot requiring the prior lot to be filled, a time gate to be cleared, and a price trigger to be reached.

Lot	Name	Alloc	Trigger	Gate	Purpose
Lot 1	The Scent	35%	Signal entry	None	Initial position; market must confirm
Lot 2	The Stalk	25%	+3% from entry	5 trading days	Largest add; time + price required
Lot 3	The Strike	20%	+6% from entry	Lot 2 filled	Momentum continuation confirmed
Lot 4	The Jugular	12%	+10% from entry	Lot 3 filled	Trend extension
Lot 5	The Kill	8%	+14% from entry	Lot 4 filled	Maximum conviction; full position

Stop Ratchet on Each Lot Fill

Lot Fill Event	Stop Moves To	Effect
Lot 2 fills	Initial stop (unchanged)	Time + price confirmed, position monitored
Lot 3 fills	Average cost (breakeven)	Capital protected; initial investment covered
Lot 4 fills	Lot 2 fill price	Lot 2 gain locked in as minimum exit
Lot 5 fills	Lot 3 fill price	Full pyramid; aggressive ratcheted stop

Stops never move backwards. The ratchet is a one-way lock. SS positions: ratchets down only.

PNTHR Entry Workflow

Step	Action	What Happens
1	SIZE IT	Analyze scoring (100 pts). Blocked when errors detected. Green >=75%. Yellow 55-74%. Red <55%

Step	Action	What Happens
2	QUEUE IT	Order queued: ticker, direction, lot size, target price, Analyze score. Per-user, persists across sessions
3	SEND TO COMMAND	4-source cascade: Analyze snapshot (authoritative) to queue entry to MongoDB pipeline to signal cache updated

Systematic Exit Discipline

Every exit is categorized and scored for discipline. Manual overrides are tracked and penalized. The system rewards systematic behavior:

Exit Type	Trigger	Discipline Score
PNTHR Signal	Proprietary PNTHR Exit Signal is generated	12/12 (Perfect)
FEAST	RSI > 85 momentum exhaustion, sell 50% immediately	12/12 (Perfect)
PNTHR PPSLC Stop Hit	Ratchet stop hit	10/12
RISK_ADVISOR	Sector/portfolio concentration breach	10/12
STALE_HUNT	20-day position without development, mandatory closure	10/12
MANUAL	Discretionary exit	4/12 (profit) or 0/12 (loss)

Friday Pipeline

The Fund runs a weekly batch process every **Friday at 4:15 PM ET** that refreshes all Kill scores, updates the signal state machine, recalculates stops, and persists results to the database. This ensures all scoring data is current for the following week's trading decisions.